



FINANCIAL INCLUSIVITY IN THE PHILIPPINES

An assessment of Filipinos' Greatest Financial Worries across varying demographic and SEC contexts based on the Global Findex Database 2025

DSFC16 Group 1 – Aiji, June, Kiel, Maxine, MJ

Problem Statement

The study aims to examine which financial worries dominate across different demographic and socio-economic groups, aiming to reveal significant gaps in segment needs that may require tailored solutions for genuine financial inclusion.

Rationale

BSP NSFI: While often equated with having an account, financial inclusion goes beyond account ownership. Being financially included enables one to access and use an appropriate financial product for a particular need.

Being financially included therefore means having access to a wide range of fit-for-purpose financial services **in line with one's capabilities and needs.**

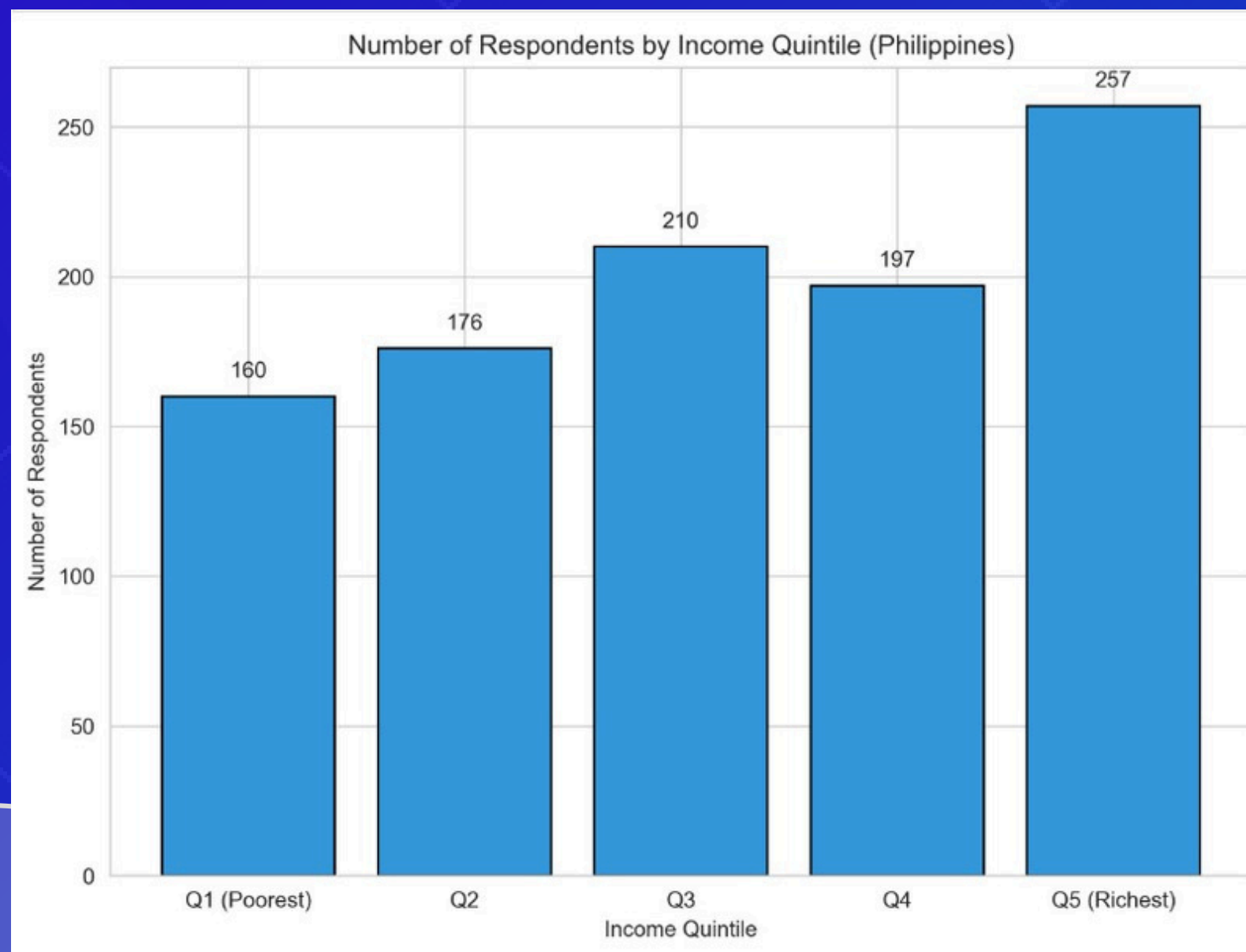
Variables

- fin45: Greatest Financial Worry
- inc_q: Income Quintile (1-5, 1 being poorest)
- age: Age
- urbanicity: Rural (1) or Urban (2)



Income Quintile (inc_q)

Respondent distribution shows more respondents belonging to the upper quintiles, which may potentially affect results in terms of percentages.



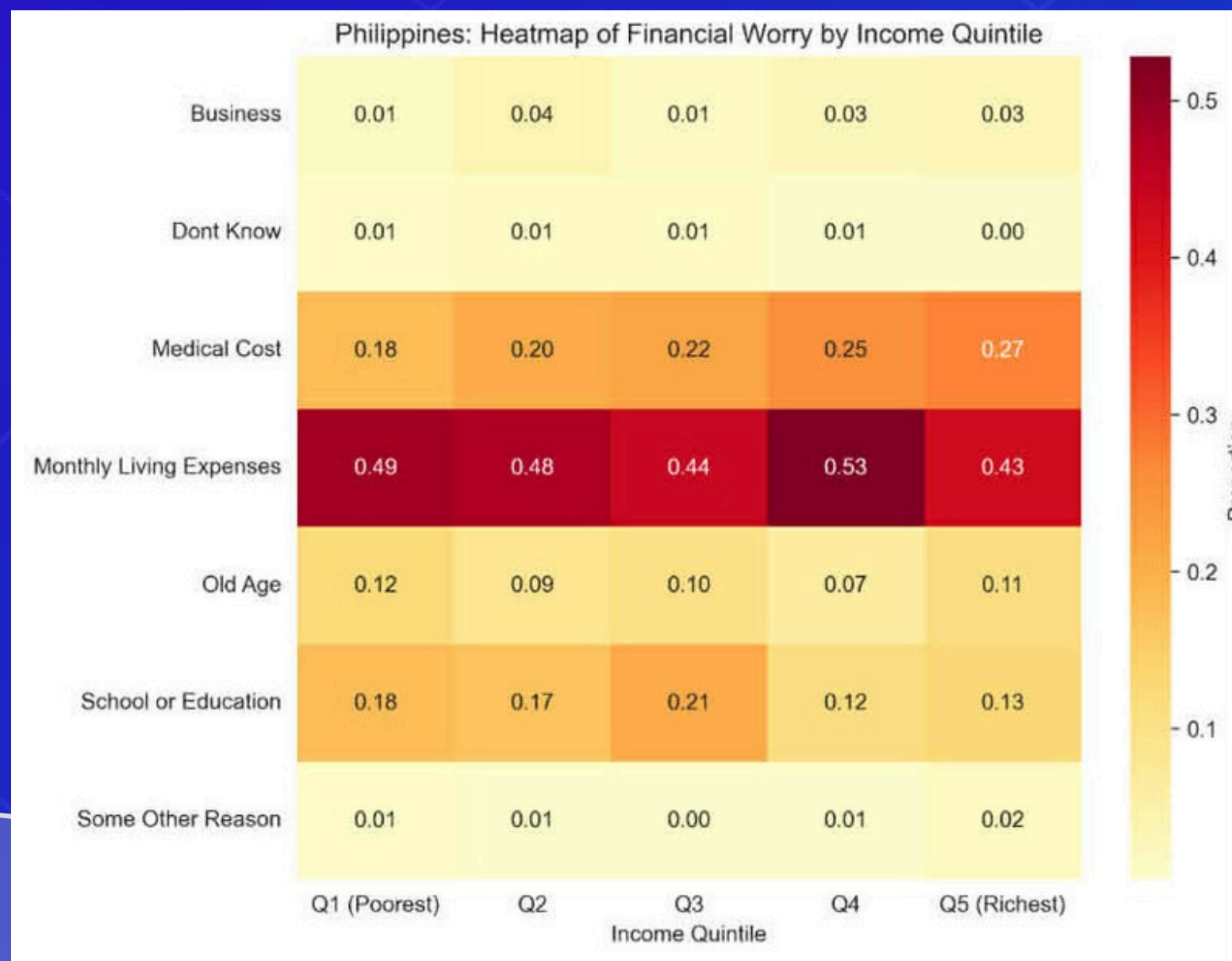
	Q1 (Poorest)	Q2	Q3	Q4	Q5 (Richest)	Overall Average
fin45_label						
monthly living expenses	48.75	47.73	43.81	52.79	42.80	46.8
medical cost	18.12	20.45	21.90	25.38	27.24	23.1
school or education	18.12	17.05	20.95	11.68	13.23	16.0
old age	12.50	9.09	10.48	6.60	11.28	10.0
business	1.25	3.98	1.43	2.54	3.11	2.5
some other reason	0.62	0.57	0.48	0.51	1.95	0.9
dont know	0.62	1.14	0.95	0.51	0.39	0.7

Monthly living expenses comes out to be the most common greatest financial worry across all groups (mean of 46.8%), with a high of 52.79% for Q4 and a low of 42.80% for Q5.

Medical costs follow as second (23.1%), with Q5 having the highest worry rate of 27.24% and Q1 being the lowest at 18.12%. Worthwhile to check health-related behaviors regarding this classification.

Income Quintile (inc_q)

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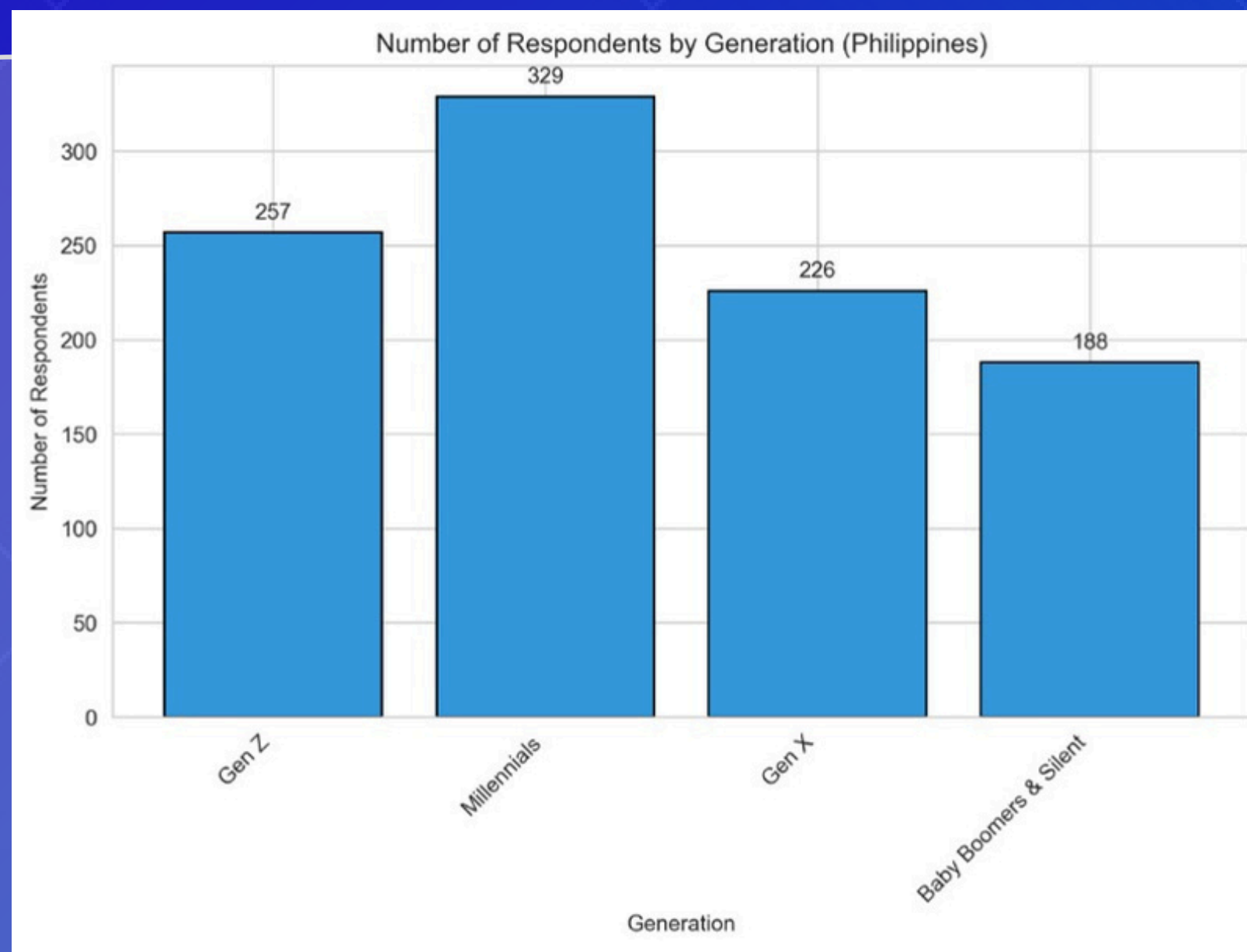
	Q1 (Poorest)	Q5 (Richest)	Difference
fin45_label			
monthly living expenses	48.75	42.80	-5.95
medical cost	18.12	27.24	9.12
school or education	18.12	13.23	-4.89
old age	12.50	11.28	-1.22
business	1.25	3.11	1.86
some other reason	0.62	1.95	1.33
dont know	0.62	0.39	-0.23

Further inspection between Q1 (poorest) and Q5 (richest) show differences in worry on **schooling / education**, which may also warrant a deeper look on average family sizes between the income quintiles.

A possible extension on education issues are the middle class welfare traps on support for resources (e.g. scholarships).

Age (age)

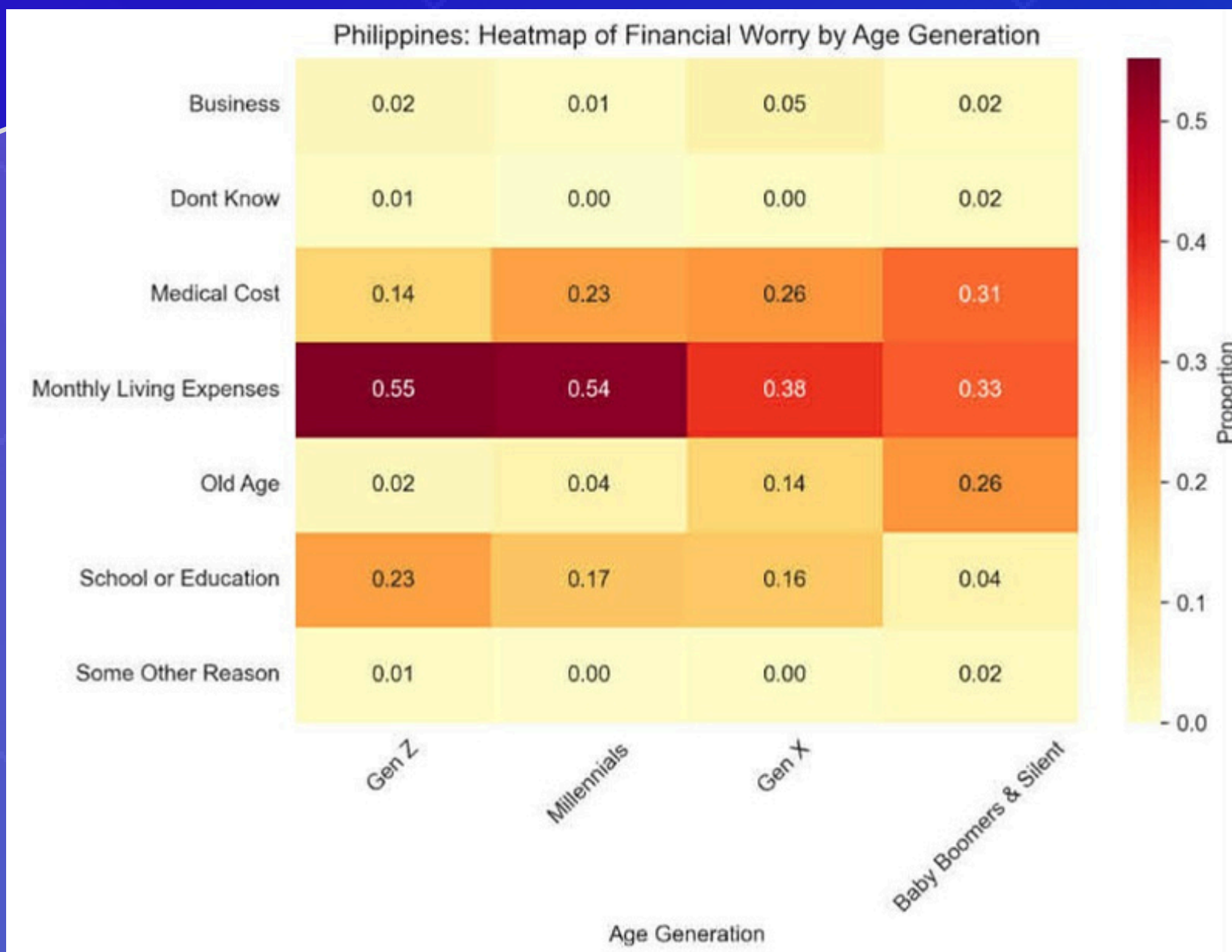
Respondent distribution shows slight skew towards younger population, with most within the working age population set by the Philippine Statistics Authority (≥ 15 years old).



Generation	Max Age	Min Age
Gen Alpha	11	0
Gen Z	27	12
Millenials	43	28
Gen X	59	44
Baby Boomers	78	60
Silent	99	79

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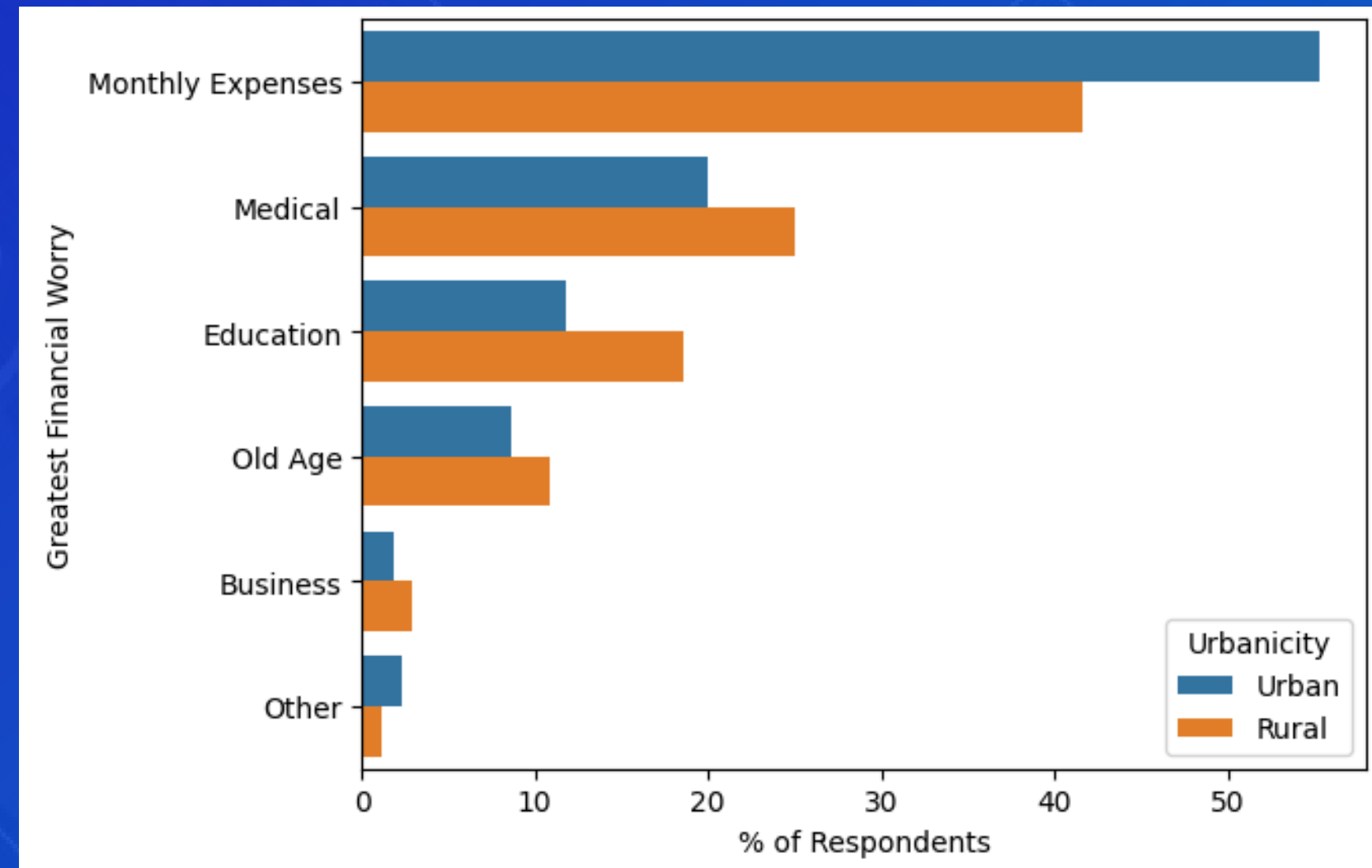
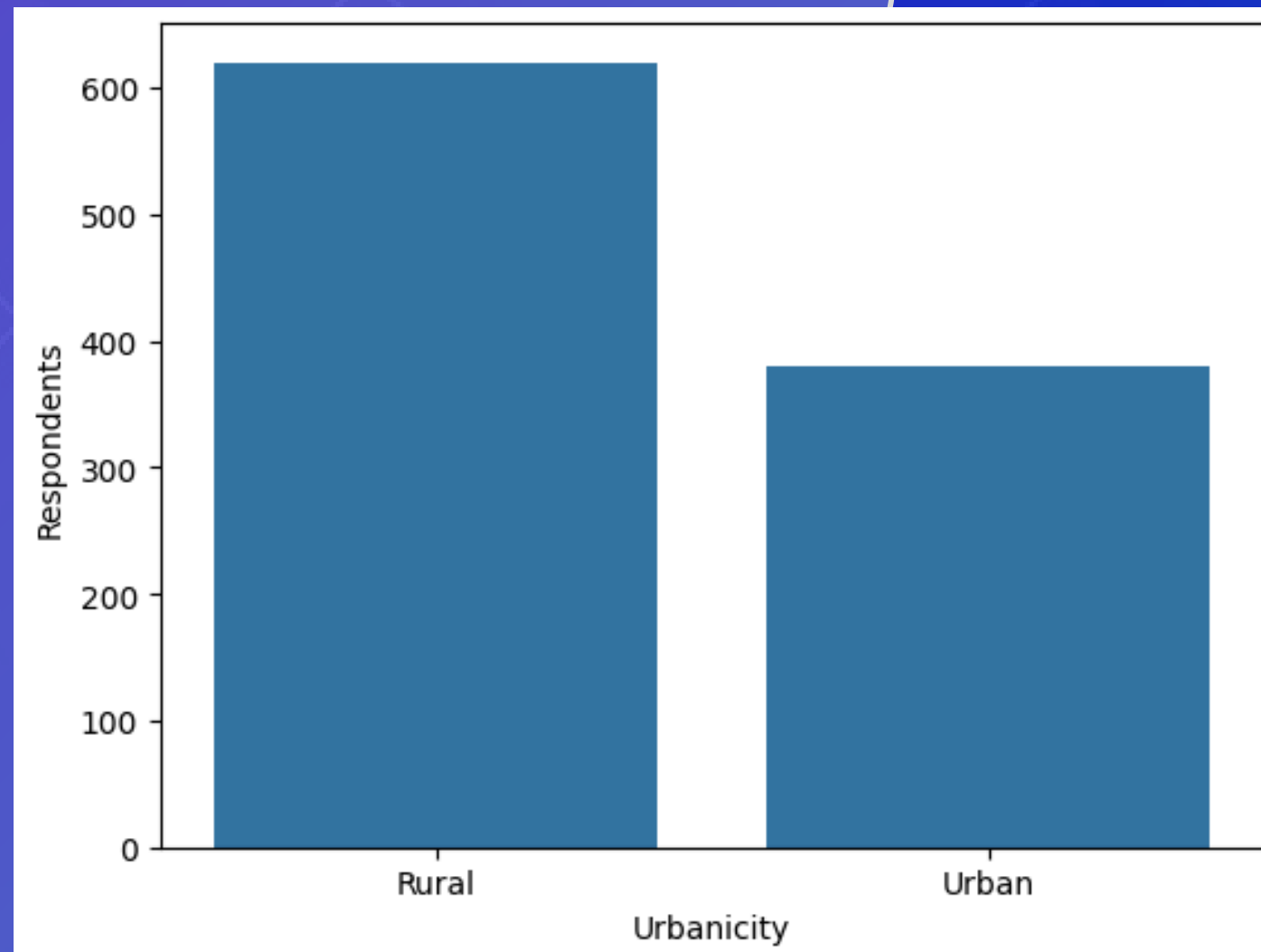
Monthly living expenses comes out to be a more significant worry for **younger age groups**, which can possibly be attributed to being **new in the workforce with generally lower wages**.

In addition, schooling also follows as a significant concern, to which the addition of two years pursuant to the K-12 program and increasing demand for postgraduates for further career advantage may be of contribution.

Among **older generations (Baby Boomers & Silent Gen + Gen X)**, medical costs and old age start to be bigger concerns, which validates the logic of increased ailments and lower mobility later in life.

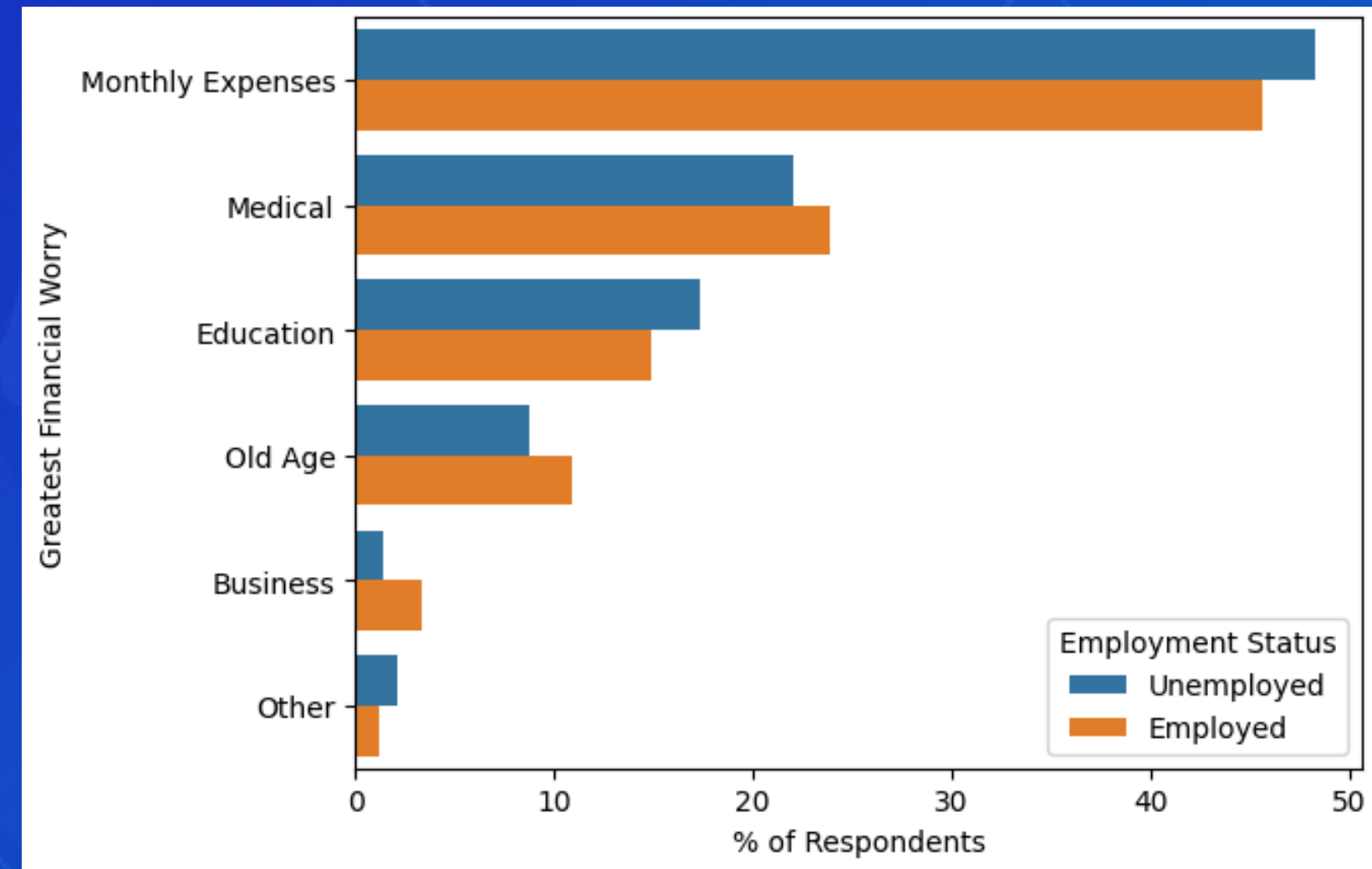
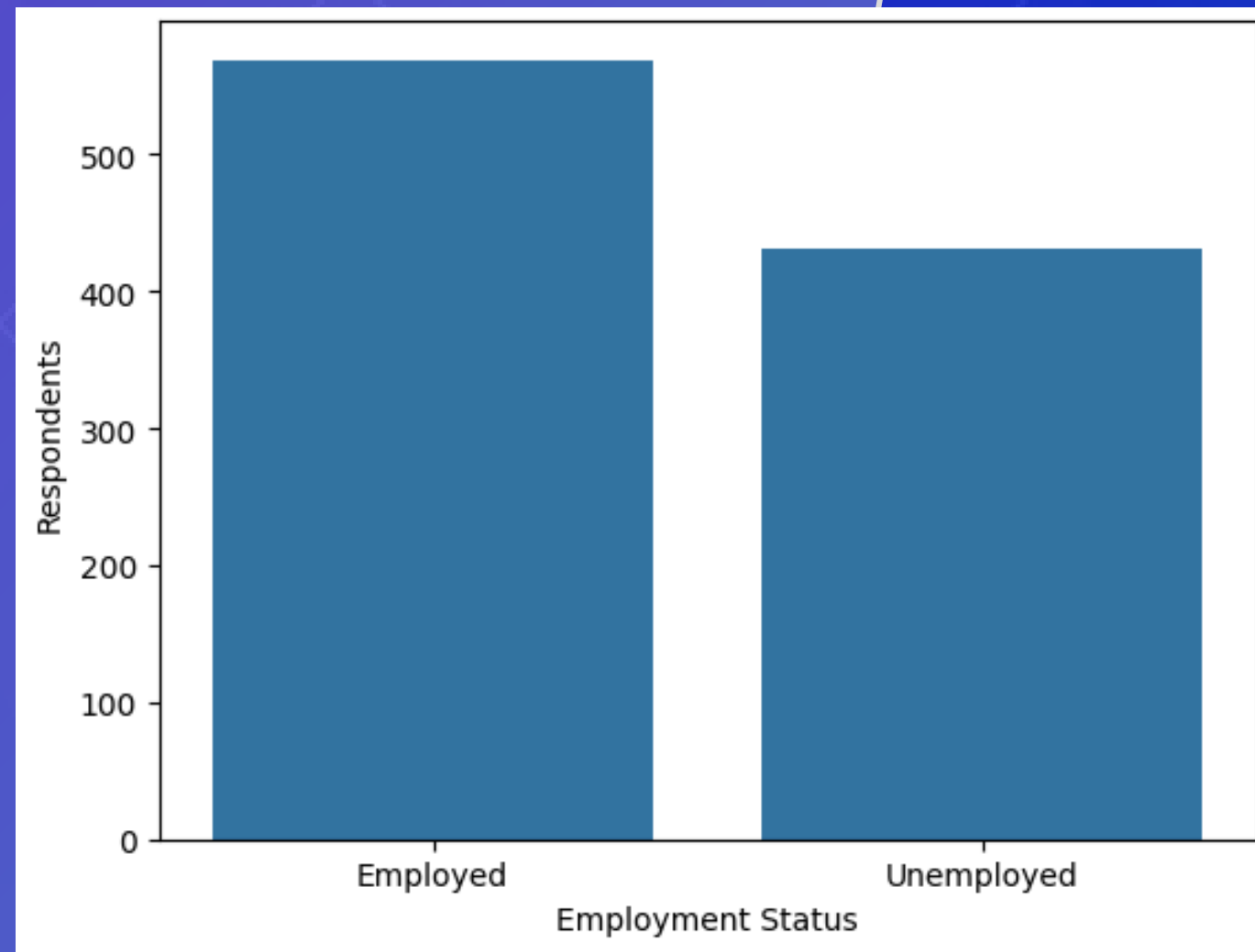
Urbanicity (urbanicity)

Except for **Monthly Expenses**, most of the **greatest financial worries** are concerns of the **Rural** respondents.



Employment Status (emp_in)

Among **unemployed** respondents, their greatest financial worries are those related to **Monthly Expenses and Education**, while for the **employed**, their greatest financial worries are **Medical, Old Age, and Business**.



Next Steps

The next steps will include:

1. Exploring the relationship between age generation, income quintile, and urbanicity in relation to financial worries.
2. Examining whether they have access to the financial instruments necessary to manage their financial concerns (finx columns)
3. Investigating the reasons they lack access to the financial instruments needed to manage their financial concerns (finx columns)





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